10. He/she audits the accounts of any other body or authority when requested by the President or Governor. For example, the audit of local bodies.

11. He/she advises the President with regard to prescription of the form in which the accounts of the Centre and the states shall be kept (Article 150).

12. He/she submits audit reports relating to the accounts of the Centre to President, who shall, in turn, place them before both the Houses of Parliament (Article 151).

13. He/she submits the audit reports relating to the accounts of a state to governor, who shall, in turn, place them before the state legislature (Article 151).

14. He/she ascertains and certifies the net proceeds of any tax or duty (Article 279). His/her certificate is final. The 'net proceeds' means the proceeds of a tax or a duty minus the cost of collection.

15. He/she acts as a guide, friend and philosopher of the Public Accounts Committee of the Parliament.

16. He/she compiles and maintains the accounts of state governments. In 1976, he/she was relieved of his/her responsibilities with regard to the compilation and maintenance of accounts of the Central Government due to the separation of accounts from audit, that is, departmentalisation of accounts.

The CAG, in connection with the performance of his/her audit duties, has the following powers:

1. To inspect any office or department which is subject to his/her audit

2. To examine all transactions and question the person in charge of the office or department

3. To call for any records, papers and documents from any audited entity

4. To decide the extent and manner of audit

Role

The role of CAG is to uphold the Constitution of India and the laws of Parliament in the field of financial administration. The accountability of the executive (i.e., council of ministers) to the Parliament in the sphere of financial administration is secured through audit reports of the CAG. The CAG submits three audit reports to the President—audit report on appropriation accounts[4], audit report on finance accounts and audit report on public undertakings. The President lays these reports before both the Houses of Parliament. After this, the Public Accounts Committee examines them and reports its findings to the Parliament.

According to the above Act of 1971, the CAG has 'to ascertain whether moneys shown in the accounts as having been disbursed was legally available for and applicable to the service or the purpose to which they have been applied or charged and whether the expenditure conforms to the authority that governs it'. In addition to this legal and regulatory audit, the CAG can also conduct the propriety audit, that is, he/she can look into the 'wisdom, faithfulness and economy' of government expenditure and comment on the wastefulness and extravagance of such expenditure. However, unlike the legal and regulatory audit, which is obligatory on the part of the CAG, the propriety audit is discretionary.